

Project Status Report 04 Vendor Delay

PROJECT STATUS REPORT

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Project Name: Supply Chain Modernization
Project ID: SCM-2024-042
Report Date: May 27, 2026
Reporting Period: May 20 - May 27, 2026
Prepared By: Kevin Martinez, Program Manager
Sponsor: Amanda Foster, COO

EXECUTIVE SUMMARY

The Supply Chain Modernization project is experiencing significant delays due to vendor performance issues. The primary systems integrator, TechGlobal Solutions, has failed to deliver critical modules on schedule. While internal team performance remains strong, vendor dependencies are impacting the overall timeline. Contract penalties are being assessed and vendor management escalation is in progress.

OVERALL STATUS: AMBER

PROJECT METRICS

- Schedule Variance: -25% (Behind schedule)
- Cost Variance: +12% (Over budget due to delay costs)
- Scope Variance: 0% (No changes)
- Quality Index: 88% (Good)
- Resource Utilization: 85% (Internal team), 60% (Vendor team)

MILESTONE PROGRESS

- ✓ Supply Chain Analysis - COMPLETED (April 20)
- ✓ Platform Selection - COMPLETED (May 5)
- ✓ Internal Team Onboarding - COMPLETED (May 15)
- Vendor Module A Delivery - DELAYED 3 weeks (Original: May 20, Revised: June 10)
- Vendor Module B Delivery - DELAYED 2 weeks (Original: May 27, Revised: June 10)
- Integration Testing - RESCHEDULED (June 20)
- Pilot Deployment - RESCHEDULED (July 15)
- Full Rollout - RESCHEDULED (September 1)

RISKS

1. Risk: Vendor unable to recover lost schedule

Impact: High | Probability: Medium

Status: Active

Owner: Kevin Martinez, Program Manager

Mitigation: Daily vendor standups, penalty clauses activated, backup vendor identified

2. Risk: Vendor resource quality below expected standards

Impact: High | Probability: High

Status: Active

Owner: Kevin Martinez, Program Manager

Mitigation: Vendor resource replacement requested, quality gates implemented

3. Risk: Contract dispute with vendor over delay responsibility

Impact: Medium | Probability: Medium

Status: Monitoring

Owner: Legal Department

Mitigation: Documentation of all delays and communications maintained

ISSUES

1. Issue: TechGlobal Solutions missed Module A delivery deadline by 3 weeks

Severity: High

Status: Escalated to Vendor Executive Sponsor

Owner: Kevin Martinez

Impact: Critical path delayed, integration testing postponed

Resolution: Vendor committed to accelerated delivery, penalties being applied

2. Issue: Vendor provided junior resources instead of senior architects as contracted

Severity: High

Status: Formal notice issued

Owner: Kevin Martinez

Impact: Quality concerns, technical leadership gap

Resolution: Vendor agreed to replace resources within 5 days

3. Issue: Vendor invoicing for delayed work

Severity: Medium

Status: Under review

Owner: Finance Department

Impact: Potential payment disputes

Resolution: Payment hold authorized until delivery confirmed

ACTIONS

1. Conduct vendor performance review meeting - Kevin Martinez (Due: May 28, Priority: Critical)

2. Document all delay impacts for penalty calculation - Kevin Martinez (Due: May 30, Priority: High)

3. Evaluate backup vendor activation - Procurement Team (Due: June 1, Priority: High)

4. Update project timeline reflecting vendor delays - Kevin Martinez (Due: May 29, Priority: Medium)

DEPENDENCIES

- External: TechGlobal Solutions Module A & B delivery - CRITICAL DELAY
- External: Backup vendor availability - On standby
- Internal: Internal development team - Ready and waiting
- Internal: Integration testing environment - Prepared

DECISIONS MADE

- Contract penalty clauses activated (May 25)
- Vendor executive sponsor meeting scheduled (May 28)
- Payment hold authorized on vendor invoices (May 26)
- Backup vendor evaluation initiated (May 27)

RECOMMENDATIONS

1. Strong vendor management required with daily oversight
2. Consider terminating vendor relationship if performance doesn't improve immediately
3. Prepare for potential vendor transition
4. Communicate delay impact to business stakeholders

VENDOR ESCALATION: Yes - Formal escalation to vendor C-level scheduled

NEXT REPORT DATE: June 3, 2026